

Venus Remedies Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · BSE: 526953 · NSE: VENUSREM · Screener ticker VENUSREM · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public results, filings and financials. Venus Remedies does not hold recorded earnings calls — see the coverage note in section 2.

1 Snapshot

What the business does: Venus Remedies makes **injectable medicines** — drugs given by injection or drip rather than as tablets. Its two big families are *anti-infectives* (antibiotics that fight bacterial infection, including combinations aimed at bugs that ordinary antibiotics no longer kill) and *oncology injectables* (chemotherapy drugs for cancer). It manufactures at Baddi in Himachal Pradesh and Panchkula near Chandigarh, and runs its own research arm, the **Venus Medicine Research Centre (VMRC)**, which invents new antibiotics. Roughly **seven rupees in every ten** of its sales come from exports — it holds over 1,040 marketing authorisations (government permissions to sell a specific drug in a specific country) across 80-plus countries.

Measure	Value	What it means in plain words
Market cap	₹2,138 cr	What the whole company is worth on the stock market — a small-cap. It was ~₹2,298 cr at our last report, so the share has drifted down ~7% even as profits rose.
Share price	₹1,584	Against a 52-week range of ₹424 to ₹2,044. Still nearly four times the low, but 22% below the high.
Q1 FY27 revenue	₹178.9 cr	Sales in the June 2026 quarter, up 30% on the ₹137 cr of a year earlier. The largest first quarter the company has ever had.
Q1 FY27 net profit	₹22.97 cr	Consolidated (whole group, including overseas arms) profit after all costs and tax — up 139% from ₹9.6 cr. On a standalone basis (Indian parent only) it was ₹25.53 cr.
Q1 FY27 operating margin	19.1%	Just over ₹19 of core operating profit per ₹100 of sales, versus ₹7.7 a year ago. This is the single most important number in this report — see section 2d.
FY26 revenue / profit	₹769 cr / ₹103 cr	The full year to March 2026: sales up ~18%, consolidated profit more than doubled. That was the year our last report covered.
Trailing-12-month profit	₹113 cr	The last four quarters added together. Already above the full FY26 figure — the earnings step-up is still going.
Borrowings (Mar 26)	₹12 cr	Against ₹238 cr of investments and ₹689 cr of net worth. Effectively debt-free; a decade ago borrowings were ₹319 cr.
ROCE / ROE	20.2% / 15.5%	Return on capital employed — about 20 paise of operating profit a year per rupee of capital in the business. Healthy, and up from 9% two years ago.
P/E ratio	18.9x	The share costs about 19 times one year's profit — cheaper than at our last report (23x), because profits grew while the price fell.

2 Concall coverage

Coverage note — no earnings calls exist. Venus Remedies does not hold recorded analyst earnings calls ("concalls"), and Screener.in lists **zero transcripts** for the company. We re-checked the Screener documents section directly for this report and confirmed it: the only filings are annual reports, credit ratings and stock-exchange announcements. This report is therefore built the same way the last one was — a **global web deep-dive** across the quarterly results filing, the company's own newsroom, the clinical-trials registry, and credible financial media. Judge the "promised versus delivered" section with that limit in mind: we are holding management to the public record, which is thinner than a run of quarterly calls would be.

Period	Source type	Read for this report?
FY24 – Q3 FY26 (Apr 2023 – Dec 2025)	Results releases, approvals news, filings	Carried forward as backstory from our Q4-2026 report — not re-read in full
Q4 & full-year FY26 (results 29 May 2026)	Results release, FY26 media coverage	Coverage boundary of the prior report — the last period it deep-read
Q1 FY27 (results filed 20 Jul 2026)	Unaudited quarterly results + auditor review	Newly deep-read in full ★
Jul 2026 disclosures	FY26 annual report (filed 24 Jul), AGM notice, six new	Newly deep-read in full ★

Still no transcripts. Everything after the 29 May 2026 boundary was read from primary filings and the company's own announcements; everything before it is carried forward from the prior report so this document stands on its own.

★ Latest update highlights — Q1 FY27 (results filed 20 July 2026)

- **Best-ever first quarter, and growth is broad.** Revenue ₹178.86 cr against ₹137.18 cr a year ago — up 30.4%. Plainly: the company sold roughly ₹42 cr more medicine in three months than in the same three months last year. It is lower than the ₹259 cr of the March quarter, but that is normal — Q4 is always Venus's biggest quarter (₹197 cr in Mar-25, ₹175 cr in Mar-24).
- **The margin held — without help from one-offs.** Operating profit (EBITDA) ₹36.81 cr, up 96%, taking the margin to **19.1% from 7.66%**. Crucially, "other income" in the quarter was just ₹3 cr, versus the roughly ₹23 cr of one-off gains that flattered FY26. This is the first clean quarter that proves the fat margin is coming from the products, not from windfalls.
- **Profit up 139%.** Consolidated net profit ₹22.97 cr against ₹9.60 cr; earnings per share ₹17.18 against ₹7.18. The Indian parent alone made ₹25.53 cr — the group figure is lower because the German arm lost money (next bullet).
- **A new blemish: the German subsidiary.** Auditors flagged **₹28.60 cr of "share application money pending allotment"** stuck in Venus Pharma GmbH — money the parent paid in for shares it has not actually received. In plain words: ₹28.6 cr is sitting in a European arm with no shares issued against it, and the arm lost ₹2.55 cr this quarter. Management calls the investment strategic and says recovery follows a **restructuring of European operations planned during FY27**. This is the first material governance-flavoured caveat in the file.
- **Six new country approvals, and the dividend is real money now.** On 29 Jul 2026 the company announced six fresh marketing authorisations — Piperacillin-Tazobactam in Myanmar, Docetaxel in Turkmenistan, Clindamycin in the Philippines, Ceftazidime (1 g and 2 g) in Morocco, Etoposide in Mexico. The ₹10 per share final dividend — its first in 13 years — went to a record date of 7 Aug 2026, with the 37th AGM on 20 Aug 2026.

A note on two sets of numbers: the company reports a consolidated operating margin of 19.1% for Q1 FY27; Screener's quarterly table, on a standalone basis and counting other income, shows 20%. Both are right on their own basis. The gap is the loss-making overseas subsidiaries.

Business mix & capacity. Exports ~72% / domestic ~28%. That was the split disclosed for FY25 and the company has not published an updated percentage for Q1 FY27 — *we are not going to invent one*. Directionally it has almost certainly risen, since every new approval announced this year has been for an overseas market. Plain read: this is fundamentally an export business, earning in foreign currency and depending on foreign regulators, so approvals are its growth valve and a rupee move is a real swing factor. **Segment reporting: one segment only** — "Pharmaceuticals" — so the company publishes no product-wise revenue split; the oncology-versus-antibiotic mix has to be inferred from which approvals it wins, and this year those have skewed toward oncology (Docetaxel, Etoposide, Plerixafor). **Capacity utilisation is not disclosed**, and no percentage has ever been given. The only hard evidence of expansion is in the balance sheet: **capital work-in-progress rose from ₹26 cr to ₹51 cr** during FY26 — money spent on plant not yet commissioned, i.e. building is genuinely under way. Management has previously said its freeze-drying (lyophilisation — the process that turns injectable drugs into stable powders) line serves only about half the demand it sees, and it opened a 132,000 sq ft global fulfilment centre. Read: there is headroom, capex is flowing, but investors are being asked to take utilisation on trust.

★ 2d. Since our last report

This builds on our **Q4-2026 report on Venus Remedies, dated 11 July 2026**, whose coverage stopped at the Q4 and full-year FY26 results of May 2026. That report reached two verdicts: **Durable earning trigger → YES** and **Management consistent → YES**. Its central reservation was that FY26's spectacular margin was flattered by roughly **₹23 cr of one-off gains** (a milestone payment from Cipla on the drug Elores, and a government Production Linked Incentive receipt), so the true underlying margin was probably a notch lower than the headline 19–24%. The single most useful thing the June quarter does is settle that question.

Prior read	What we said then	What the new quarter shows	Movement
Verdict 1 — durable earning trigger	YES: mix shift to higher-margin oncology and specialty injectables plus a steady flow of export approvals, on a debt-free balance sheet. Held back from a	Q1 FY27 margin 19.1% with only ₹3 cr of other income and no one-off flagged anywhere in the filing. Revenue +30%, profit +139%. The margin stands on its own feet.	Confirmed

	slam-dunk by the ₹23 cr of one-offs.		
Verdict 2 — management consistent	YES: delivered on debt clearance, exports, margin and a first dividend in 13 years. Caveat was structural — no calls to hold them to.	Dividend actually paid (record date 7 Aug 2026), approvals kept landing, margin sustained. But auditors flagged ₹28.6 cr parked in the German arm with no shares issued against it — the first real ding on the record.	Confirmed, with one blemish
Margin sustainability ex-one-offs	"The sustainable margin likely sits a notch below the headline."	19.1% clean. Against a 7.66% base quarter and an 11% FY25 full year, this is a genuine step change, not accounting noise. Our reservation is answered.	Improving
Steady flow of export approvals	"Ongoing — steady flow, but lumpy and approval-dependent."	Six new marketing authorisations announced 29 Jul 2026 across Myanmar, Turkmenistan, the Philippines, Morocco and Mexico, on top of the Saudi Plerixafor first. Total portfolio now 1,040+ authorisations.	On-track
Debt-free balance sheet	"Done. Fully delivered, real cash generation."	Borrowings ₹12 cr at Mar 2026 — technically up from zero, but trivial against ₹238 cr of investments. Interest cost still nil. FY26 operating cash ₹151 cr.	Confirmed
Novel antibiotic VRP-034	"Regulatory designation only — not yet approved or earning. Genuine upside option, zero revenue today."	A Phase I trial (the first test in humans — 48 healthy volunteers at Veeda Clinical Research, India) was registered on 30 Mar 2026 with an April 2026 planned start. As of the registry's own last update the status still reads "not yet recruiting" , and no dosing start has been announced in four months.	Slipping
First dividend in 13 years	"Rs 10/share proposed — a signal management now feels financially secure."	Confirmed and executed: ₹10 final dividend, record date 7 Aug 2026, up for approval at the 20 Aug AGM. Payout ratio 13% — modest, so the cash pile keeps building.	Confirmed
Capacity expansion (lyophilisation)	"Clear room to grow output, and capex is going into it."	Capital work-in-progress nearly doubled, ₹26 cr → ₹51 cr in FY26. Spending is real. Utilisation percentages remain undisclosed, so the "half the demand" claim is still unverifiable.	On-track, unverified

Where that leaves the two verdicts. Verdict 1 stays YES, and our conviction in it is upgraded. The only thing standing between it and a strong YES last time was the suspicion that FY26's margin was borrowed from one-offs. A quarter that earned 19.1% on ₹3 cr of other income removes that suspicion — this is the first clean read on the new margin structure and it held. **Verdict 2 stays YES, unchanged, but no longer unblemished.** Everything management said it would do it has done, including actually paying the dividend. Against that, the ₹28.6 cr sitting in Venus Pharma GmbH without shares issued is exactly the kind of item that would have drawn hard questions on a concall — and there is no concall. It is not large enough to break the record (it is about a quarter's profit), but the promised FY27 European restructuring is now a specific thing to hold them to.

★ 3. Earning-trigger thesis

The engine is unchanged and it is now better evidenced. Venus spent a decade paying off ₹319 cr of debt and has spent the last three years pushing its sales mix away from commodity antibiotics toward **higher-value oncology and specialty injectables**, while winning a steady drip of **country-by-country export approvals** that turn dormant products into sellable ones. Because the cost base is largely fixed, each extra rupee of higher-value export sales drops disproportionately to profit — which is why revenue up 30% produced profit up 139% this quarter. The June quarter matters because it is the first period since the turnaround that shows the fat margin **without a one-off propping it up**. Sitting on top of that proven, cash-generating core is a free option: the in-house antibiotic **VRP-034**, which could be worth a great deal if it works and is licensed out, and which earns nothing whatsoever today.

Trigger	What management said	Evidence so far	Horizon	Strength
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					Change since last report
Richer product mix (oncology + specialty injectables)	A deliberate shift up the value chain into cancer and specialty injectables, away from low-margin tender antibiotics.	Operating margin 11% (FY25) → 19% (FY26) → 19.1% in Q1 FY27 with no one-offs . New approvals this year skew oncology: Plerixafor, Docetaxel, Etoposide.	Playing out now	Strong Now proven clean, not just proven.	Upgraded. The one-off caveat that capped this last time has been answered by a clean quarter.
Export approvals into new markets	Keep converting the 1,040-authorisation portfolio into live sales; activate roughly 100 dormant authorisations; reduce dependence on lumpy government tenders.	Six new authorisations on 29 Jul 2026 (Myanmar, Turkmenistan, Philippines, Morocco, Mexico); first-ever Saudi approval for Plerixafor in May 2026. Exports ~72% of sales.	Ongoing	Moderate–Strong Reliable drip, but each approval is small and the timing is not in the company's hands.	Unchanged. Flow continued exactly as expected through the quarter.
Debt-free balance sheet funding growth	Stay debt-free and fund expansion from internal cash.	Borrowings ₹12 cr vs ₹238 cr investments; interest cost nil; FY26 operating cash ₹151 cr against ₹99 cr of profit — the profit is converting into actual cash.	Done	Strong Fully delivered and self-sustaining.	Unchanged. Still intact; capex is being funded without borrowing.
Novel antibiotic VRP-034	A reformulated polymyxin B designed to cut kidney damage by up to 70%; US FDA has granted it QIDP status (a designation that speeds review and adds five years of market exclusivity if approved).	Phase I registered 30 Mar 2026 (48 healthy volunteers, India). Registry status still reads "not yet recruiting"; no dosing announcement in four months. Zero revenue.	Multi-year, uncertain	Unproven A genuine option, but options with no news are worth less each quarter.	Slipped. The trial got registered — real progress — then went quiet past its own planned April start.
European restructuring (new)	The ₹28.6 cr in Venus Pharma GmbH is "strategic"; recovery to follow a restructuring of European operations during FY27.	Nothing yet. The German arm lost ₹2.55 cr in Q1 FY27 and drags roughly 10% off group profit each quarter.	FY27	Too early A stated promise with a stated deadline — genuinely checkable next year.	New this quarter. Did not appear in the prior report at all.

4 Management consistency scorecard

Period	What was promised / set out	What actually happened	Verdict
FY15–FY25	Clear the debt pile and fix the balance sheet.	Borrowings cut from ₹319 cr (FY15) and ₹216 cr (FY20) to zero by FY25. Interest cost went from ₹41 cr a year to nil. ₹12 cr crept back in FY26, immaterial against ₹238 cr of investments.	Delivered
FY24–FY26	Grow exports and add international manufacturing-quality approvals (GMP — Good Manufacturing Practice, a regulator's certificate that a factory is fit to make medicines).	Reached its 27th GMP licence; added Ukraine, Malaysia, Gabon and a first PIC/S accreditation (an international mutual-recognition scheme for factory inspections). Exports ~72% of sales.	Delivered
FY24–FY26	Lift profitability by moving to a richer product mix.	Operating margin 11% → 19%; FY26 profit more than doubled. At the time this was partly one-off-assisted, which we flagged.	Delivered (with one-off help)
FY26 (May 2026)	Return cash to shareholders now that the balance sheet is secure — ₹10 per share proposed.	Executed. Record date 7 Aug 2026, up for approval at the 37th AGM on 20 Aug 2026. Payout ratio a conservative 13%.	Delivered
Q1 FY27 (Jul 2026) ★	Implicitly, that the FY26 margin step-up was structural rather than a windfall.	19.1% operating margin achieved with just ₹3 cr of other income and no disclosed one-off. Revenue +30%, profit +139%. The claim survived its first clean test.	Delivered
	₹28.6 cr in Venus Pharma GmbH is a strategic investment; recovery follows	Nothing yet — the promise is one quarter old. The subsidiary continues to lose money (₹2.55 cr	

Q1 FY27 (Jul 2026) ★	a European restructuring "during FY 2026-27".	in the quarter). Auditors have put it in writing, so it will be tracked.	Too early — and the first item on our watch list
Multi-year ★	Build a novel-antibiotic research pipeline; VRP-034 to progress after its US FDA QIDP designation.	Phase I registered 30 Mar 2026 with an April 2026 planned start — real, concrete progress. But the registry has shown "not yet recruiting" ever since, and no dosing has been announced through July 2026.	Slipping

Narrative drift. There is remarkably little. For a decade the story has been four sentences long — clear the debt, widen the export footprint, move up the value chain into oncology, and keep an antibiotic-research option running on the side — and management has done all four in that order, capped by the first dividend since 2013. Nothing has been quietly dropped and no unrelated venture has appeared. The June quarter is the strongest single piece of evidence yet, because it removed the one honest doubt we had: the margin was not borrowed from one-off income. Two qualifications keep this from being a clean sweep. First, the **structural one**, unchanged from last time: with no earnings calls, management never has to answer an unscripted question, so the whole consistency read rests on filings they control. Second, and new, the **German subsidiary**: ₹28.6 cr paid in for shares never issued, in an arm that keeps losing money, disclosed only because auditors wrote it into the review report. It is not a scandal and it is not big enough to change the verdict, but it is the first item in this file that management did not volunteer, and the FY27 restructuring is now a dated promise we will hold them to.

5 Bottom line — two verdicts

Durable earning trigger? → YES · vs last quarter: upgraded (still YES, higher conviction)

What moved it: the June quarter earned a 19.1% operating margin on just ₹3 cr of other income. Last time we wrote that FY26's margin was flattered by roughly ₹23 cr of one-offs and that the sustainable level "likely sits a notch below the headline." It does not. That is the single reservation in the prior report and it has now been tested and answered. Underneath sits a genuinely durable machine: a shift into oncology and specialty injectables that lifts realisations, a 1,040-strong portfolio of country approvals being steadily switched on (six more in July alone), a fixed-cost base that turns 30% revenue growth into 139% profit growth, no debt, and operating cash of ₹151 cr in FY26 that exceeded reported profit. Return on capital has gone 9% → 12% → 20% in three years. The honest limits: revenue growth still depends on approvals that foreign regulators grant on their own timetable, the company discloses neither capacity utilisation nor a product-wise revenue split, and the biggest blue-sky item — VRP-034 — has gone quiet past its own planned trial start and earns nothing. This is a YES on what the business does today, not on the pipeline.

Management consistent? → YES · vs last quarter: unchanged

What moved it: nothing decisive in either direction — delivery continued, and one blemish appeared. On the positive side, the dividend was not just proposed but executed with a record date, approvals kept landing on schedule, and the margin they implicitly claimed was structural proved structural on its first clean test. The four-part strategy set out years ago — deleverage, export, move up the value chain, keep an R&D option — has not drifted once; it has compounded. Pulling the other way is the ₹28.6 cr of share application money sitting in Venus Pharma GmbH with no shares issued against it, in a subsidiary that lost ₹2.55 cr in the quarter and shaves roughly a tenth off group profit. It surfaced through the auditors' review, not through management's own commentary, and the promised fix — a European restructuring "during FY 2026-27" — is a stated deadline that has not yet been tested. That is enough to remove the shine, not enough to change the answer: ₹28.6 cr against ₹113 cr of trailing profit and ₹689 cr of net worth is a wart, not a wound. The verdict stays YES with the same structural asterisk as before — no earnings calls means no unscripted questions, so we are grading management on documents they write themselves.

Sources. Newly read for this report: Venus Remedies unaudited Q1 FY27 results and limited-review report filed 20 Jul 2026 (via ScanX, Sahi, EquityBulls summaries of the BSE filing); the company's newsroom item "Venus Continues Global Expansion with New Market Approvals", 29 Jul 2026 (times.venusremedies.com); FY26 annual report filing and 37th AGM notice (BSE, 24 Jul 2026); ClinicalTrials.gov record NCT07502144 (VRP-034 Phase I), fetched 3 Aug 2026; Screener.in financial tables for Venus Remedies (profit & loss, quarterly results, balance sheet, cash flow, ratios, shareholding) and the Screener documents section, re-checked 3 Aug 2026 and confirmed to hold no concall transcripts. *Carried forward as backstory from our Q4-2026 report:* FY26 full-year results coverage (Business Upturn, ScanX, MarketsMojo, Trade Brains, Sahi), US FDA QIDP designation coverage (Business Standard, Pharmabiz, BW Healthcare World, BioSpectrum India), GMP and marketing-authorisation announcements (Indian Pharma Post, India Pharma Outlook, Medical Dialogues), and independent investor analyses (91Capital Substack, 29 May 2026; CompoundingAI Substack).

A note on the numbers. Venus reports both consolidated (whole group) and standalone (Indian parent only) figures, and they differ materially because the overseas arms lose money. Q1 FY27 consolidated: revenue ₹178.86 cr, net profit ₹22.97 cr, EPS ₹17.18. Standalone net profit: ₹25.53 cr. Screener's quarterly table shows ₹179 cr of sales and ₹26 cr of profit on the standalone basis. All are correct on their own basis; we have labelled which is which throughout.